

We believe that's how one can deliver good returns to clients.

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***Did you study Indian infrastructure companies before the Hindenburg report?***

I looked at infrastructure operators but never invested in a big way. L&T was as close as we got to infra. Prior to joining GQG, I had also looked at a bunch of mid-cap infra stocks that did very well for six to seven years. But I missed all of that! This is the first time in 30 years that I have been as bullish on Indian infrastructure stocks.

If you look at our India exposure, we believe banks look very attractive... We also like some public sector banks. We have been familiar with them for a long time, along with ITC. [But] we have nothing in IT services, for example.

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***What is your assessment of the Adani Group, the board, the management and the conglomerate's governance structure?***

We started looking at the group more closely after the Hindenburg report came out to see what could potentially go wrong and how much impact it would have. Some of our team members had met the management and the family members when they (the Adanis) were doing road shows last year. We did some work on their business a few years ago. At that time, which was almost five

years ago, we were more bullish on China tech. And we also thought the valuations were a bit expensive.

When we started doing the work this year, what we found was that the more work we did, the more bullish we got. In our view, they have world-class operating assets with utility-like characteristics. We feel that the Adanis' asset allocation decisions have been remarkably good. If you buy Mumbai airport or any other airport dur-

the lowest-cost producers of electricity in the country. What is also not appreciated is that if India wants to be net zero by 2070, it likely cannot happen without this group.

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***Has the correction in valuations, the government's focus on infra, or the maturity of the infra sector in India encouraged you to invest in the Adani Group companies?*** There are multiple reasons

what we saw in this [the group's] case. And this is not just in one area but in multiple areas, such as power, transmission, green energy, gas distribution, edible oils, roads, etc. It's very unusual to see this high level of competency across multiple complex projects.

We have invested in utilities in over a dozen countries, including emerging markets and developed countries. We have seen utilities go bankrupt in Europe. We have seen utilities go bankrupt in a lot of developed markets and, obviously, in emerging markets, including in India. So, it is not as straightforward. What we found at the Adani Group was its consistent ability to deliver in a very cost-effective manner and thereby generate high returns. That's what, first and foremost, attracted us. People talk about free cash flow, but free cash flow comes later in the best-growing businesses. Almost all US utilities have negative free cash flows. Even outside, for example, retail giant Walmart: It had negative cash flows during its fastest growing years, for almost three decades!

We also thought there was inefficiency in the Indian market where the focus was too much on short-term P&L [profit and loss]. I consider Indian corporations to be among the best in the world. Of course, I may be a little biased. But I believe it [Adani] truly is a well-run

**OUR VIEW IS THAT MOST OF THE TIME, GOOD MANAGEMENT DOES ITS JOB AND OUR CLIENTS ENJOY THE RETURNS. THE ADANI [GROUP] DOESN'T NEED PEOPLE LIKE ME TO TELL THEM WHAT TO DO**

ing Covid-19, when it is likely a distressed sale, the transaction has a high probability of doing well. Another example would be solar modules. They were not in that business even a few years ago. Now, they will be one of the largest producers of solar modules outside of China. If anybody wants to set up data centres in India, who would they go to [other than the Adanis]? It's [also] an electricity business... [but] the group is one of

here. First and foremost, we look for bottom-up execution capabilities. In every country, and it's not unique to India, everybody likes to talk big. The way I like to put it is that there are a lot of hot-dog stands that claim they will be the next Microsoft. But most of them remain hot-dog stands. I don't think political connections can create competencies. What we would like to see are core execution capabilities over multiple cycles—which is